

BANQUE DE KIGALI

Auditors Report for the period ended

31st December 2007

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BANQUE DE KIGALI (B.K.)
CORPORATE INFORMATION
FOR THE YEAR ENDED 31 DECEMBER 2007

Adresse du Siège

Banque de Kigali (BK)
63, Avenue du Commerce
B.P. 175 KIGALI
RWANDA

Board of Directors as at 31/12/2007

M. Manassé TWAHIRWA	Chairman
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Directors

M. Manassé TWAHIRWA
Mme Henry GAPERI
Mme François NKULIKIYIMFURA
M. Jean Marie Vianney MULINDABIGWI
M. Richard MUGISHA

Management

Mr. James GATERA	Managing Director
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Sections

Mr. Monique NYIRAMUGWERA	Head of credit section
Mr. Louis RUGERINYANGE	Head of Administration section
Mr. Cisko KANYANDEKWE	Head of Finance section
Mr. Jacques Joseph SAFARI	Head of IT and Organisation section
Mr. Désiré MUSONI	Head of operation section
Mr. Adolph NGOGA	Head of corporate section

Departments

Mr. Pascal RURANGWA	Internal Audit
Mr. J.Baptiste MPATSIMONDO	Finance
Mme. Yvonne CHUMA	Legal and Compliance
Mr. J. Berchmans NTAWUMUVULIRA	Corporate
Mme. Flora RUSINGA	Human Resources
Mme. Annonciata MUKAMUGWERA	Internal Services
Mr. Athanase MURENGERANTWALI	Back Office
Mr. Parfait BUSABIZWA	Front Office

Auditors

Deloitte Rwanda
Immeuble Aurore – Kacyiru
P.O. BOX 1902 Kigali
Rwanda

BANQUE DE KIGALI (B.K.)
REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 31 DECEMBER 2007

The directors present their report together with the audited financial statements for the year ended 31 December 2007, which shows the statement of affairs of the bank.

1. CONSTITUTION

The Company was created on December 22nd, 1966 to operate as commercial bank.

2. PRINCIPAL ACTIVITIES

The bank collects money in form of fixed deposits and term deposits. The principal activity of the bank is the provision of corporate and retail banking services. The bank gives different types of loans to its customers according to National Bank of Rwanda regulations and provisions.

3. RESULTAT

The bank's result for the year ended 31 December 2007 is 4,266.249 (in thousands of RWF) (Four billion five hundred and eighteen million four hundred eighty three thousand Rwandese francs) (set out on page 8). (RW "000"2,962,961 for 2006).

4. DIRECTORS

The membership of the board of directors during the year ended 31 December 2007 is set out on page 3.

5. AUDITORS

Deloitte & Touche Rwanda has been appointed as Banque de Kigali auditors for the year 2007

BY ORDER OF THE BOARD

Company Secretary

Kigali

BANQUE DE KIGALI (BK)
STATEMENT OF DIRECTORS' RESPONSIBILITIES
FOR THE YEAR ENDED 31 DECEMBER 2007

The Law Governing Commercial Companies in Rwanda requires the directors to prepare financial statements for each financial year, which gives true and fair view of the state of affairs of the bank as at the end of the financial year and of the profit or loss of the bank for that year. It also requires the directors to ensure the bank keeps proper books of account, which disclose with reasonable accuracy at any time, the financial position of the bank. They are also responsible for safeguarding the assets of the bank and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The Directors accept the responsibility for the annual financial statement, which has been prepared using appropriate accounting principles supported by reasonable and prudent judgements and estimates in conformity with the Laws Governing Commercial Enterprises in Rwanda. The Directors are of the opinion that the financial statements give true and fair view of the state of financial affairs of the bank and of its operating results. The Directors further accept the responsibility of keeping proper books of account with reasonable accuracy which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the bank will not remain a going concern for at least the next twelve months from the date of this statement.

.....
Director (Chairman)

.....
Director

.....
Date

.....
Date

BANQUE DE KIGALI (BK)
REPORT OF THE AUDITORS
FOR THE YEAR ENDED 31 DECEMBER 2007

REPORT OF THE AUDITORS
FOR THE YEAR ENDED 31 DECEMBER 2007
PRESENTED TO THE GENERAL ASSEMBLY OF THE SHAREHOLDERS
OF BANQUE DE KIGALI

To the shareholders,

In accordance with legal and statutory requirements, in this case the laws and regulations governing banks and other financial institutions and Banque de Kigali statutes, we are pleased to submit our audit report on the Financial Statements.

We have conducted our audit on the financial statements established under the responsibility of the boards of directors, for the year ended 31 December 2007.

Our audit has been conducted in accordance with the International Standards on Auditing (ISA). Those standards require that we plan and perform the audit to obtain a reasonable assurance that the financial statements are free of material misstatement in accordance with rules and regulations governing accounts of Commercial banks in Rwanda.

We have considered the organisation of the Bank in terms of accounting and administration and its overall internal control system. We have obtained all the information and explanations, which, to the best of our knowledge and belief, were necessary for our audit.

We have examined, on a sample basis, evidence supporting the amounts and disclosures in the financial statements in the account at 31 December 2007. We have also assessed the accounting principles used and significant estimates made by the directors, as well as evaluating the overall financial statements presentation.

We believe that our audit provides a reasonable basis for our opinion.

BANQUE DE KIGALI (BK)
REPORT OF THE AUDITORS
FOR THE YEAR ENDED 31 DECEMBER 2007

Opinion

In our opinion, proper books of accounts have been kept and the financial statements, which are in agreement therewith, give a true and fair view of the state of the financial affairs as at 31 December 2007 and of the profit and cash flows for the year then ended according to the accounting practices in Rwanda.

Kigali, le.....2008

FOR DELOITTE RWANDA

Patrick GASHAGAZA
Partner

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

INCOME STATEMENT

	Notes	31/12/2007 000 RWF	31/12/2006 000 RWF
INTEREST INCOME	2	8.720.016	7.201.531
INTEREST EXPENSE	3	(1.735.290)	(1.046.098)
COST OF CREDIT RISK	4	(535.774)	194.420
Net interests		6.448.952	6.349.853
Commissions	5	979.977	905.713
Loss or gain on transactions instruments	6	646.777	581.466
Exchange gains	7	2.160.551	1.778.270
Commission on forex withdrawals	8	359.114	(365.094)
Net result from banking activities		10.586.534	9.250.209
Staff costs	9	(2.350.957)	(2.425.232)
Other operating costs	10	(1.641.984)	(1.628.748)
Depreciations	18	(392.190)	(575.320)
Operating result		6.210.403	4.620.909
Income tax	11	(1.935.154)	(1.657.948)
Net profit		<u>4.266.249</u>	<u>2.962.961</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

BALANCE SHEET

ASSET	Notes	31/12/2007 000 RWF	31/12/2006 000 RWF
Cash and balances with the National Bank of Rwanda	12	15.033.838	9.820.918
Investments on Government bonds	13	26.079.025	16.063.411
Placements and balances with other banking institutions	14	23.198.949	18.249.675
Loans and advances to customers (net)	15	48.658.768	37.841.096
Equity investments	16	175.708	175.708
Other assets	17	4.103.226	2.014.538
Property and equipment	18.1	5.216.970	3.499.879
Intangible assets	18.2	36.108	36.106
		122.502.592	87.701.331
LIABILITIES AND OWNERS EQUITY			
<i>Liabilities</i>			
Deposits and balances from other banks and other financial institutions	19	4.524.919	4.147.230
Customers' deposits	20	101.852.662	69.026.897
Other account payable	21	3.303.619	4.232.792
Provisions	22	18.728	319.146
Total liabilities		109.699. 928	77.726. 065
<i>Owners Equity</i>			
Share capital	23	5.005. 000	1.500.000
Reserves		3.531. 415	5.512.305
Net profit/loss		4.266. 249	2.962.961
Total owners' equity		12.802. 664	9.975.266
Total Liabilities and Owners Equity		122.502. 592	87.674.331

The financial statements were approved by the board of Directors

Chairman :.....Date :.....

DirectorDate :.....

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

STATEMENT OF CHANGES IN EQUITY

	Note	Capital	Réserves légal	Réserves spéciales	Autres réserves	Report à nouveau	Dividendes et tantième	Total
		FRW'000	FRW'000	FRW'000	FRW'000	FRW'000	FRW'000	FRW'000
Au 31 décembre 2006		1.500.000	983.854	1.069.088	3.455.060	2.967.264	0	9.975.266
Ajustements 2006	24	0	0	0	42.629	0	0	0
Report au 1 janvier 2007		1.500.000	983.854	1.069.088	3.497.689	2.967.264	0	10.017.895
Affectation du résultat 2006		0	296.000	296.000	889.000	-2.962.480	1.481.480	0
Dividendes distribuées		0	0	0	0	0	-1.481.480	-1.481.480
Réduction des réserves		0	0	0	-3.505.000	0	0	-3.505.000
Augmentation du capital		3.505.000	0	0	0	0	0	3.505.000
Bénéfice net de la période		0	0	0	0	4.266.249	0	4.266.249
Au 31 décembre 2007		5.005.000	1.279.854	1.365.088	881.689	4.271.033	0	12.802.664

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

TABLEAU DE VARIATION DES FLUX DE TRESORERIE

<i>cash flows from operating activities</i>	31 December 2007 RWF'000'	31 December 2006 RWF'000'
Profit before taxation	6.201.404	4.620.909
<i>Adjustments for :</i>		
Depreciation	392.190	575.320
Provisions		
<i>Operating profit before working capital changes</i>	6.593.594	3.417.959
(Increase)/Decrease in loans and advances to customers	-10.817.672	-4.855.825
(Increase)/Decrease in other assets	-2.088.688	-794.328
Increase/(Decrease) in customers' deposits	32.825.765	12.356.605
Increase/(Decrease) in others liabilities and provisions	-1.229.591	1.888.192
Accrued expenses	-1.081.596	
Receivable reimbursement	-1.126.564	1.227.206
Receivable income	334.264	
Other variations	123.437	16.825
Income tax paid	-1.657.948	-1.430.231
<i>Net cash (used in)/generated from operating activities</i>	21.847.946	11.150.261
<i>cash flows from investing activities</i>		
Equity investment	0	0
Investment in government securities	-10.015.614	-8.012.506
Purchase of property and equipment	-2.047.827	-1.724.358
Disposal of fixed assets	0	315.387
<i>Net cash used in investing activities</i>	-12.063.441	-9.421.477
<i>cash flows from financing activities</i>	0	0
<i>Net cash generated from financing activities</i>	0	0
Variation in cash and cash equivalent	9.784.505	1.809.740
Cash and cash equivalent at the beginning of the year	23.923.363	22.194.579
Cash and cash equivalent at the end of the year	33.707.868	23.923.363

The financial statements were approved by the board of Directors

Chairman.....Date.....

Director.....Date.....

NOTES TO THE FINANCIAL STATEMENTS

1. SIGNIFICANT ACCOUNTING POLICIES

(a) Basis of accounting

The financial statements are prepared based on going concern principle, on historical cost and in accordance with local banking regulations and laws governing banks and financial institutions in Rwanda.

(b) Income recognition

The income from ordinary activities is evaluated at fair value of the income received or to be received. The income or interests due and remaining unpaid for the loans in classes 3,4 and 5 must be fully reserved in accordance with the instruction N° 3/2000 of March 29th of the National Bank of Rwanda.

(c) Provisions for bad and doubtful debts

Provisions have been made during the current period for which debts recovery are uncertain. The constitution of provision has been made in conformity with The National Bank of Rwanda (BNR) instructions. The applied rates are the following:

Doubtful advances	: 20%
Litigious advances	: 50%
Contentious advances	: 100%

The interest income on loans that are not being serviced is suspended and excluded from income until it is received.

(d) Foreign exchange transaction

The transactions into foreign currencies are translated at the rates of exchange ruling at the date of the transactions. Assets and liabilities expressed in foreign currencies are translated into Rwandese Francs at the rates of exchange ruling at the balance sheet date. The resulting differences from conversion and transaction are dealt with in the income statement in the year in which they arise. Transactions during the year are translated at the rates ruling at the dates of the transactions.

(e) Fixed assets

The fixed assets are stated at their historical or revalued cost less accumulated depreciation and accumulated losses in value. The cost of the fixed asset consists of its purchase price, including the customs duties and non recoverable taxes, and the value of other directly attributed costs, which have been incurred in bringing the assets to the location and condition necessary for their intended service.

NOTES TO THE FINANCIAL STATEMENTS (continued)

Depreciation

Depreciation is calculated on the straight-line basis, at annual rates estimated to write off the carrying values of the assets over their expected useful lives. The annual depreciation rates in use are:

	Years
Building	20
Computer equipment	2
Machines	5-7
Motor vehicles	4
Other equipments	4

(f) Loans and advances

Loans and advances are recognised at cost less provision on doubtful debts and losses.

(g) Equity investment

The shares held in the capital of the third companies are recorded at their cost of acquisition less provisions. The dividends are recorded in the income statement when they are received.

(h) Financial instruments

The instruments held to maturity are recorded at cost, including acquisition costs.

(i) Employee benefits

The employee benefits are recognised as expenditures.

(j) Currency

The financial statements are presented in thousands of Rwandan francs (RWF'000).

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

2. INTEREST INCOME	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Interest on securities received from pension	723.794	317.540
Other income from transaction with banks and other financial institutions	828.772	746.861
Interest on customers' debit balance	1.233.187	1.132.904
Overdraft	1.675.594	1.623.624
Interest received on Equipment loan	487.422	615.174
Interest received on Personal loan	670.849	568.124
Interest received on Property loan	1.623.465	1.255.984
Interest received on other loans with the client	1.161.002	601.125
Commission on Acceptances and letter of credit for banks	173.772	167.740
Commission on Acceptances and letter of credit for the clients	127.716	151.839
Other Income on transaction with Clients	14.443	20.617
	<u>8.720.016</u>	<u>7.201.532</u>

3. INTEREST EXPENSES	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Interest expenses on inter bank transactions	38.174	40.608
Interest on Fixed tem deposits	1.350.162	881.674
Interest on pension securities issued	77.069	33.140
Interest on customer accounts	269.885	90.676
	<u>1.735.290</u>	<u>1.046.098</u>

4. COST OF CREDIT RISK	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Provision on amortized loans	(1.431.947)	(6.824)
Write back of Provision on amortized loans	896.107	201.746
Losses on irrecoverable loans	66	(502)
	<u>(535.774)</u>	<u>194.420</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

5. COMMISSIONS	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Bank charges	175.152	172.840
Commission on the banking transactions	515.267	453.598
Commission on serviced loan	79.524	79.154
Other income received from banking services	210.034	200.122
	<u>979.977</u>	<u>905.714</u>
6. GAIN OR LOSS ON FINANCIAL INSTRUMENTS TRANSACTION	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Interest on assets held to maturity	616.303	562.715
Income from equity investment	30.474	18.751
	<u>646.777</u>	<u>581.466</u>
7. RESULT ON REVALUATION AND ARBITRATION	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Profits on revaluation and arbitration	2.160.551	1.778.270
	<u>2.160.551</u>	<u>1.778.270</u>
8. OTHER BANK INCOME AND OPERATING COSTS	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Other income	359.114	336.410
General provision	0	(641.705)
Other expenses	0	(59.799)
	<u>359.114</u>	<u>(365.094)</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

9. STAFF COSTS	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Treatment & Compensation	2.055.751	2.128.615
Social security Fund	149.951	120.513
Complementary pension cost	35.045	49.499
Medical costs	80.455	83.648
Training	23.756	24.079
Expatriate personnel insurance	0	9.298
Other	5.999	9.580
	<u>2.350.957</u>	<u>2.425.232</u>
10. OTHER OPERATING COST	2007 Rwf'000	2006 Rwf'000
Rent	44.183	44.496
Repair and maintenance	68.187	81.468
Insurance	62.175	64.722
Electricity, Water and Gas	112.411	149.198
Belgolaise Remuneration	0	68.185
Fees	49.754	58.516
Directors Attendance fees	5.355	3.940
Entertainment Allowance	35.224	59.043
Security	80.436	79.488
IT expenses	161.915	168.967
Swift & Calvacom	20.400	13.982
Internet	2.648	2.912
Advertisement	140.699	113.140
SIMTEL fees (Software, Advertisement, Tools)	59.274	65.745
Foreign currency importation	38.356	41.984
Stationeries and furniture	231.621	128.304
Postage, telephone and Fax	219.339	173.376
Transport	198.655	115.716
Hotel and travel allowance	0	17.024
Professional membership fees	5.500	15.283
Contributions and other subsidies	16.388	12.406
BNR and other penalties	89.464	8.133
Damages	0	53.549
Other costs	1.390	89.171
	<u>1.641.984</u>	<u>1.628.748</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

11. INCOME TAX PROVISION : Rwf 2.043.184 , Rwf 1.657.948(2006) :

This amount represents 30% of gross income after reintegration of non-deductible expenses.

12. CASH ON HAND AND BALANCES WITH BNR	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Cash on hand in RWF	1.471.320	1.382.193
Cash on hand in foreign currencies	3.495.895	3.319.790
BNR ordinary account	5.166.623	3.818.935
Short term investment to BNR	4.900.000	1.300.000
	<u>15.033.838</u>	<u>9.820.918</u>

13. INVESTMENT IN GOVERNMENT BONDS	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Treasury bills	26.079.025	16.063.411
	<u>26.079.025</u>	<u>16.063.411</u>

14. PLACEMENTS AND BALANCES WITH OTHER BANKING INSTITUTIONS	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Due from local banks	138.890	164.876
Due from correspondent banks	3.307.452	2.892.259
Short term investment in foreign currencies abroad	19.752.607	15.192.540
	<u>23.198.949</u>	<u>18.249.675</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

15. Loans and advances to customers	<u>2007</u> <u>Rwf'000</u>	<u>2006</u> <u>Rwf'000</u>
Current account	4.536.305	3.531.637
Overdraft	8.353.655	11.507.232
Property/house loan	13.357.497	9.717.635
Equipment loan	4.939.346	3.410.892
Personal loan	16.666.584	9.251.309
Other clients' debts	43.663	97.358
<i>Total performing loans</i>	<u>47.897.050</u>	<u>37.516.063</u>
Amortized loans	8.730.195	8.473.189
Total gross loans	<u>56.627.245</u>	<u>45.989.252</u>
Provisions	-4.509.271	-3.886.369
Bank charges	-3.459.207	-4.261.787
Total net loans	<u>48.658.768</u>	<u>37.841.096</u>

Provisions change

	<u>2007</u> <u>Rwf'000</u>	<u>2006</u> <u>Rwf'000</u>
At 01 January 2007	(3.886.369)	4.455.413
Provision during the period	1.431.881	201.746
Write back	(896.107)	-10.698
Write off	(407.948)	-384.674
At 31 December 2007	<u>(4.509.271)</u>	<u>4.261.787</u>

16. Equity investment	<u>2007</u> <u>Rwf'000</u>	<u>2006</u> <u>Rwf'000</u>
Gross value	541.995	541.995
Provisions for depreciation	(366.287)	(366.287)
Net value	<u>175.708</u>	<u>175.708</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

17. OTHER ASSETS	2007 Rwf'000	2006 Rwf'000
Amount due from the Government	1.000.423	713.689
Staff advances	195	9.671
Other debtors	1.221	1.047
Sundry	88.442	62.925
Suspense account (17.1)	3.012.945	1.227.206
	<u>4.103.226</u>	<u>2.014.538</u>

17.1 Suspense account	2007 Rwf'000
Foreign currency importation in transit	1.111.199
Repayment of loan pending	1.126.564
Income receivable on short term investment	334.264
Prepaid expenses	30.516
Clearing effects	271.524
Cheques and other values in collection	88.442
Other	50.436
	<u>3.012.945</u>

18.1. PROPERTY AND EQUIPMENT

COST	Land	Building	Computer equipment	Motor vehicles	Furniture and fittings	Work in progress	Total
At 1 January 2007	23,537	1,253,634	476,587	164,372	1,076,028	2,475,280	5,469,438
Additions during the period	11,886	41,282	94,320	0	58,363	1,841,976	2,047,827
Disposal	0	0	0	0	0	0	0
Adjustments	0	0	0	0	0	0	0
At 31 December 2007	35,423	1,294,916	570,907	164,372	1,134,391	4,317,256	7,517,265
DEPRECIATION							
At 1 January 2007	0	1,004,395	310,560	100,012	623,949	0	2,038,916
Charge of the period	0	64,746	130,173	17,626	161,590	0	374,135
Adjustments	0	0	0	0	103,871	0	103,871
Write back	0	-62,682	-130,173	-23,772	0	0	-216,627
At 31 December 2007	0	1,006,459	310,560	93,866	889,410	0	2,300,295
NET BOOK VALUE							
At 31 December 2007	35,423	288,457	260,347	70,506	244,981	4,317,256	5,216,970
At 31 December 2006	23,537	249,239	166,027	64,360	452,079	2,475,280	3,430,522

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

18.2 INTANGIBLE ASSETS

COST	Software
At 01 January 2007	105.464
Additions during the period	559
Disposal	0
Adjustments	0
At 31 December 2007	<u>106.023</u>
DEPRECIATION	
At 01 January 2007	69.358
Charge of the period	18.054
Adjustment	-17.497
Write back	0
At 31 December 2007	<u>69.915</u>
NET BOOK VALUE	
Au 31/12/2007	<u>36.108</u>
Au 31/12/2006	<u>36.106</u>

19. DEPOSITS AND BALANCES FROM OTHER BANKS

	2007 Rwf'000	2006 Rwf'000
Current account	2.565.408	2.096.447
Term deposit account	1.959.511	1.968.309
BNR loan	0	80.309
Interest receivable		2.166
	<u>4.524.919</u>	<u>4.147.231</u>

20. CUSTOMERS' DEPOSITS

	2007 Rwf'000	2006 Rwf'000
Current account	69.683.361	53.808.086
Other customers' current account	528.050	655.229
Term and deposit account	27.195.004	13.282.959
Guarantee deposits	3.490.614	719.318
Other client debts	458.110	381.845
Interest payable	497.523	178.740
	<u>101.852.662</u>	<u>69.026.177</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

21. OTHER LIABILITIES

	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Social security	60.260	66.657
Amount due to staff	7.399	3.144
Government	2.208.334	1.725.516
Other creditors	15.106	10.543
Suspense accounts	1.012.520	2.426.932
	<u>3.303.619</u>	<u>4.232.792</u>

22. PROVISIONS

	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Provisions for litigations	18.728	45.728
Provisions for	-	300.418
	<u>18.728</u>	<u>346.146</u>

23. SHARE CAPITAL: Rwf 5.005.000: (Rwf 1.500.000: 2006)

The increase in share capital by incorporation of reserves was approved by the General Assembly of shareholders on Dec. 12, 2007.

24. AJUSTMENT ON OWNERS' EQUITY 2006: Rwf 42,629

This adjustment relates to the write back of provision on the change in the depreciation computation methods because of the new law on depreciation in Rwanda.

25. CASH AND CASH EQUIVALENT

	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Cash and balances with the National Bank of Rwanda	15.033.838	9.820.918
Cash balances in others banking institutions	23.198.949	18.249.675
Deposits in others banking institutions	<u>(4.524.919)</u>	<u>(4.147.230)</u>
Total of Cash and Cash equivalent	<u>33.707.868</u>	<u>23.923.363</u>

BANQUE DE KIGALI S.A
FOR THE YEAR ENDED 31 DECEMBER 2007

NOTES TO THE FINANCIAL STATEMENTS (continued)

26. OFF BALANCE SHEET

	2007 <u>Rwf'000</u>	2006 <u>Rwf'000</u>
Acceptances		
Guarantees given in favour of our customers	11.775.471	8.870.929
Other guarantees	175.332	134.806
<i>Guarantees received</i>		
Guarantees received from third parties	54.664.241	31.218.210
	<u>66.615.044</u>	<u>40.223.945</u>

27. RATIOS PRUDENTIELS

	BK 31/12/2007	STANDARD	Observation
Net owners' equity	10.242.914	7.291.392	Exceed
Solvability ratio	14,05	10	Exceed
Liquidity ratio	103	100	Exceed
Fixed Assets/Permanent Ressources ratio	156,31	100	Exceed

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